BENEFITS AND COSTS OF TRADE

Learning Outcome

- describe the benefits and costs of international trade

Over the past few decades, the global economy has experienced rapid growth in trade and a growing interdependence among countries. This has led to a debate among policy makers over whether the expansion of trade has been helpful for individual national economies. This lesson examines the possible benefits and costs of international trade.

Benefits and Costs of International Trade

The benefits and costs of international trade are widely debated. The most compelling arguments supporting international trade are as follows: countries gain from exchange and specialization, industries experience greater economies of scale, households and firms have greater product variety, competition is increased, and resources are allocated more efficiently.

Gains from exchange occur when trade enables each country to receive a higher price for its exports (and greater profit) or pay a lower price for imported goods instead of producing these goods domestically at a higher cost (i.e., less efficiently). This exchange, in turn, leads to a more efficient allocation of resources by increasing production of the export good and reducing production of the import good in each country (trading partner). This efficiency allows for consumption of a larger bundle of goods, thus increasing overall welfare. The fact that trade increases overall welfare does not mean, of course, that every individual consumer and producer is better off. What it does mean is that the winners could, in theory, compensate the losers and still be better off.

Trade also leads to greater efficiency by fostering specialization based on comparative advantage. Traditional trade models, such as the Ricardian model and the Heckscher–Ohlin model, focus on specialization and trade according to comparative advantage arising from differences in technology and factor endowments, respectively.

Newer models of trade focus on the gains from trade that result from economies of scale, greater product variety, and increased competition. In an open economy, increased competition from foreign firms reduces the monopoly power of domestic firms and forces them to become more efficient, in contrast to a closed economy. Industries that exhibit increasing returns to scale (e.g., the automobile and steel industries) benefit from increased market size as a country starts trading because the average cost of production declines as output increases in these industries. Monopolistically competitive models of trade have been used to explain why there is significant two-way trade (known as *intra-industry trade*) between countries within the same industry. Intra-industry trade occurs when a country exports and imports goods in the same product category or classification.

A monopolistically competitive industry has many firms; each firm produces a unique or differentiated product: it does not have any exit or entry barriers, and long-run economic profits are zero. In such a model, even though countries may be similar, they gain from trade because each country focuses on the production and export of one or more varieties of the good and imports other varieties of the good. For example, the European Union exports and imports different types of cars. Consumers gain from having access to a greater variety of final goods. Firms benefit from greater economies of scale because firms both within and outside the EU are able to sell their goods in both markets. Hence, scale economies allow firms to benefit from the larger market size and experience lower average cost of production as a result of trade.

Research suggests that trade liberalization can lead to increased real (i.e., inflation-adjusted) GDP although the strength of this relationship is still debated. The positive influence of trade on GDP can arise from more efficient allocation of resources, learning by doing, higher productivity, knowledge spillovers, and trade-induced changes in policies and institutions that affect the incentives for innovation. In industries that embrace “learning by doing,” such as the semiconductor industry, the cost of production per unit declines as output increases because of expertise and experience acquired in the process of production. Trade can lead to increased exchange of ideas, freer flow of technical expertise, and greater awareness of changing consumer tastes and preferences in global markets. It also can contribute to the development of higher quality and more effective institutions and policies that encourage domestic innovation. For example, studies have shown that foreign research and development (R&D) has beneficial effects on domestic productivity, which become stronger the more open an economy is to foreign trade. For example, some estimate that about a quarter of the benefits of R&D investment in a G–7 country accrues to their trading partners. Consider Logitech, a Swiss company that manufactures computer mice. To win original equipment manufacturer (OEM) contracts from IBM and Apple, Logitech needed to develop innovative designs and provide high-volume production at a low cost. So in the late 1980s, the company moved to Taiwan Region, which had a highly qualified labor force, competent parts suppliers, a rapidly expanding local computer industry, and offered Logitech space in a science park at a competitive rate. Soon thereafter, Logitech was able to secure the Apple contract.

(investments) may need to be reallocated into or out of an industry depending on whether that industry is expanding (exporters) or contracting (i.e., facing import competition). As a result of this adjustment process, less-efficient firms may be forced to exit the industry, which, in turn, may lead to higher unemployment and the need for displaced workers to be retrained for jobs in expanding industries. The counter argument is that although there may be short-term and even some medium-term costs, these resources are likely to be more effectively (re-)employed in other industries in the long run. Nonetheless, the adjustment process is virtually certain to impose costs on some groups of stakeholders.

Question Set

Consider two countries that each produce two goods. Suppose the cost of producing cotton relative to lumber is lower in Cottonland than in Lumberland.

1. How would trade between the two countries affect the lumber industry in Lumberland?

Hide Solution

Solution:

The lumber industry in Lumberland would benefit from trade. Because the cost of producing lumber relative to producing cotton is lower in Lumberland than in Cottonland (i.e., lumber is relatively cheap in Lumberland), Lumberland will export lumber and the industry will expand.

2. How would trade between the two countries affect the lumber industry in Cottonland?

Hide Solution

Solution:

The lumber industry in Cottonland would not benefit from trade, at least in the short run. Because lumber is relatively expensive to produce in Cottonland, the domestic lumber industry will shrink as lumber is imported from Lumberland.

3. What would happen to the lumber industry workers in Cottonland in the long run?

Hide Solution

Solution:

The overall welfare effect in both countries is positive. However, in the short run, many lumber producers in Cottonland (and cotton producers in Lumberland) are likely to find themselves without jobs as the lumber industry in Cottonland and the cotton industry in Lumberland contract. Those with skills that also are needed in the other industry may find jobs fairly quickly. Others are likely to do so after some re-training. In the long run, displaced workers should be able to find jobs in the expanding export industry. Those who remain in the import-competing industry, however, may be permanently worse off because their industry-specific skills are now less valuable. Thus, even in the long run, trade does not necessarily make every stakeholder better off. But the winners could compensate the losers and still be better off, so the overall welfare effect of opening trade is positive.

4. What is the meaning of the expression “gains from trade”?

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Solution:

Gains from trade imply that the overall benefits of trade outweigh the losses from trade. It does not mean that all stakeholders (producers, consumers, government) benefit (or benefit equally) from trade.

5. What are some of the benefits from trade?

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Solution:

Some of the benefits from trade include the following: gains from exchange and specialization based on relative cost advantage; gains from economies of scale as the companies add new markets for their products; greater variety of products available to households and firms; greater efficiency from increased competition; and more efficient allocation of resources.

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